

ON NOTICE

The total tax demand served on gaming companies till date is around ₹1.5 lakh crore



Older GST (goods and services tax) notices amount to ₹22,936 crore



This includes the notice served to Gameskraft Technologies for ₹20,989 crore



Smaller notices of ₹1,243 crore by Siliguri Zonal Unit and ₹351 crore by Jaipur unit are also included



It is the fresh wave of GST notices amounting to over ₹1 lakh crore that has created panic



Fantasy sports platform Dream11 has been served a tax notice of ₹28,000 crore



Games24x7 and Head Digital Works have been served notices of ₹20,000 crore and ₹5,000 crore, respectively

GRAPHICS BY RAHUL SHARMA

ligence (DGGI) has set up a separate cell to monitor GST compliance of foreign online gaming firms.

There's more pain for the sector. Tax authorities are further sharpening the focus on these firms after the Supreme Court stayed a Karnataka High Court order that quashed a GST demand of ₹21,000-crore on online gaming firm Gameskraft—founded by Prithvi Singh, Deepak Singh, Rajkumar Taneja, and Sindhu Devi Jha. About 35-40 firms are being probed by the DGGI and sources say the Supreme Court ruling gives it the power to continue investigations, while probes against another 100 firms may be launched soon. Gameskraft declined to comment on BT's queries.

Besides, notices amounting to nearly ₹1.5 lakh crore are being sent to more firms,

including one to Dream11. Its parent Sporta Technologies has filed a writ petition in the Bombay High Court challenging the notice. Lengthy court battles are expected in many of these cases and the industry is also awaiting the Supreme Court ruling in the Gameskraft case.

Many companies and tax experts are of the view that these cases may amount to retrospective taxation—an issue that was also raised by some states. However, Revenue Secretary Sanjay Malhotra said after the 52nd meeting of the GST Council, that the notices are not retrospective. "This was not retrospective in any way as this was the law earlier also. The law has not been amended in any way. The liabilities always existed as the money online games played with stakes were already attracting [28 per cent tax] by virtue of entry of betting and gambling. The Council has not decided anything for the past. It is a prospective legislation. Whatever was the law earlier, it was clarified to them that it is because of this that these notices have gone," he said. All states will notify it effective October 1, he underscored.

Abhishek A. Rastogi, Founder of law firm Rastogi Chambers, who has previously argued such cases in the Punjab and Haryana High Court, says the Supreme Court stay on the Karnataka High Court ruling in the Gameskraft case will make the tax authorities active as it strengthens their stance. "They are likely to proceed with issuance of show-cause notices and recovery of taxes. There are a number of other cases and investigations related to GST on online gaming going on at different stages across the country," he says.

Khushbu Trivedi, Associate Director at law firm Nangia Andersen LLP, says the taxability of online gaming is a matter of debate due to the complexity created from contrary deliberations by industry players and lawmakers. "The Finance Act, 2023, has introduced new provisions seeking to tax winnings from online games at 30 per cent and a corresponding withholding tax provision with a computation mechanism prescribed," she notes.

The increase in GST could discourage players from subscribing to such gaming

\$8.6

BILLION

LIKELY SIZE OF INDIA'S ONLINE GAMING INDUSTRY IN FY27 COMPARED TO \$2.6 BILLION IN FY22 AND \$0.54 BILLION IN FY16

SOURCE DELOITTE-FIFS REPORT